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Case Number: 25PSCV01979 Hearing Date: August 12, 2026 Dept: G

Defendants
HongMall US Corp., Weboook Information Technology Ltd., HongMall Holding Inc.,
and Le Xin's Motion to Set Aside Entry of Default

Respondent:
Plaintiff Wen & Winnie Trading LLC

TENTATIVE
RULING

Defendants
HongMall US Corp., Weboook Information Technology Ltd., HongMall Holding Inc.,
and Le Xin's Motion to Set Aside Entry of Default is DENIED.

BACKGROUND

This
is an action for breach of contract.
Plaintiff Wen & Winnie Trading LLC (Wen & Winnie Trading) is a
food and beverage importer and distributor.
Defendant HongMall US Corporation (HongMall US) is an alleged e-commerce
retailer and United States-based subsidiary of defendants Weboook Information
Technology Limited (Weboook) and HongMall Holding Inc. (HongMall Holding),
which are Canada-based companies.
Defendant Le Xin (Xin) is the alleged CEO of HongMall US, Weboook, and
HongMall Holding. In 2021, Wen &
Winnie Tading began selling goods to HongMall US. By December 2024, HongMall US allegedly fell
in arrears on payments, and Wen & Winnie Trading ceased shipping goods to

HongMall US. In December 2024, Weboook and HongMall Holding allegedly agreed on a payment plan of $10,000 per week and up to $40,000 per month on HongMall US's outstanding invoices in exchange for Wen & Winnie Trading's continued shipments to HongMall US. Between December 2024 and March 2025, Wen & Winnie Trading fulfilled orders to HongMall US, but HongMall US, Weboook, and HongMall Holding, and Xin (collectively, Defendants) allegedly failed to pay the invoices in full under the payment plan. In March 2025, Defendants allegedly ceased payments altogether.

On May 30, 2025, Wen & Winnie Trading filed the Complaint, alleging causes of action for (1) breach of contract, (2) open book account, (3) goods sold and delivered, (4) account stated, (5) restitution/unjust enrichment, (6) conversion, (7) fraud and deceit, (8) injunctive relief, and (9) declaratory relief.

On September 12, 2025, the court entered default against HongMall US, Weboook, and HongMall Holding. On October 22, 2025, the court entered default against Xin. On January 23, 2026, the court issued a default judgment against Defendants.

On May 22, 2026, Defendants filed this motion to set aside entry of default. On June 23, 2026, Wen & Winnie Trading filed the opposition, and on June 30, 2026, Defendants filed the reply. On July 8, 2026, the court continued the hearing on the motion and requested supplemental briefing. On July 22, 2026, Defendants filed the supplemental moving brief, and on July 28, 2026, Wen & Winnie Trading filed the supplemental opposition.

The motion is set for a continued hearing on August 12, 2026.

ANALYSIS

Defendants move to set aside the entries of default against Defendants based on attorney error. For the following reasons, the motion is DENIED.

Legal Standard

If based on the mistake, inadvertence, surprise, or neglect of the party's attorney, then the court must set aside the entry of default and vacate any resulting default judgment against that party. (Code Civ. Proc., § 473, subd. (b).) "[R]elief may be denied if the court finds the default was not in fact the attorney's fault, for example when the attorney is simply covering up for the client's neglect." (Bailey v. Citibank, Nat. Assn. (2021) 66 Cal.App.5th 335, 349.) The provision based on attorney mistake "does not afford relief to a client who, after inexcusably allowing his default to be entered, hires an attorney whose neglect results in a default judgment"; in other words, the entry of default must be the attorney's fault. (Cisneros v. Vueve (1995) 37 Cal.App.4th 906, 908.) To obtain relief, the attorney must include a sworn affidavit attesting to their mistake, and the court must direct the attorney to pay reasonable compensatory legal fees and costs to opposing counsel and parties. (Ibid.) In contrast to the discretionary provision based on a party's mistake, the six-month period for a motion to set aside entry of default based on an attorney's mistake runs from the entry of judgment, not the entry of default. (See Jimenez v. Chavez (2023) 97 Cal.App.5th 50, 60.) "The six-month time limit for granting statutory relief is jurisdictional and the court may not consider a motion for relief [under Section 473] made after that period has elapsed." (Manson, Iver & York v. Black (2009) 176 Cal.App.4th 36, 42, emphasis added.)

Courts liberally grant motions to vacate default judgments when relief is promptly sought and the opposing party is not prejudiced as the law strongly favors resolution on the merits. (Kramer v. Traditional Escrow, Inc. (2020) 56 Cal.App.5th 13, 28.) Courts only require "slight evidence" to support vacating a default and resolve all doubts in favor of the party seeking relief. (Ibid.) However, "[t]he only occasion for the application of [S]ection 473 is where a party is unexpectedly placed in a situation to his injury without fault or negligence of his own and against which ordinary prudence could not have guarded." (Hearn v. Howard (2009) 177 Cal.App.4th 1193, 1206.)

Discussion

As a preliminary matter, the court entered default against Defendants on September 12, 2025 and October 22, 2025. (See 1/23/2026 Order Re: Court's Final Order, p. 1.) The court issued a default judgment against Defendants on January 23, 2026. (See 1/23/2026 Default Judgment, pp. 1–3.) The court's previous tentative ruling incorrectly stated that the six-month period runs from the entry of default, not the entry of judgment; which is the correct standard for discretionary relief under Section 473, subdivision (b). (See Jimenez, supra, 97 Cal.App.5th at 59.) However, the correct standard for mandatory relief under Section 473, subdivision (b) provides that the six-month period runs from the entry of judgment, not the entry of default. (See id. at 60.) Defendants filed this motion for relief under the mandatory provision of Section 473, subdivision (b) on May 22, 2026, within six months after the court issued the default judgment. (See Mot., p. 1.) Thus, the motion is timely, and the court has the discretion to grant relief under Section 473, subdivision (b).

Even though the motion is timely filed, the court finds it fails on the merits. According to Defendants' counsel, Defendants did not request that counsel represent them in this action until November 28, 2025. (See McDonough Decl., ¶¶ 4–5.) The court entered default against Defendants before they retained counsel in this action, so the entries of default were not the result of counsel's mistake, inadvertence, surprise, or neglect. (See Code Civ. Proc., § 473, subd. (b), instructing the court to set aside an entry of default "unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect"; see also Bailey, supra, 66 Cal.App.5th at 349, permitting the court to deny relief "if the court finds the default was not in fact the attorney's fault, for example when the attorney is simply covering up for the client's neglect.")

Counsel states that Defendants informed him about the default judgment on April 30, 2026, so the default judgment is, in part, counsel's fault because he did not timely move to set aside the entries of default against Defendants. (See McDonough Decl., ¶¶ 8–9.) Nevertheless, as stated above, Section 473, subdivision (b) "does not afford relief to a client who, after inexcusably allowing his default to be entered, hires an attorney whose neglect results in a default judgment.” (Cisneros, supra, 37 Cal.App.4th at 908.)

The court read and considered Defendants’ supplemental brief and declaration filed on July 22, 2026, and Plaintiff’s supplemental opposition thereto. As Plaintiff correctly points out, the court permitted supplemental briefing limited to distinguishing the facts in this case to the Cisneros holding. Defendants were not permitted to supplement with new evidence. Defendants submitted a supplemental declaration from Le (“Steve”) Xin, an individual who did not provide a declaration in support of Defendants’ original moving papers. Since this new evidence was not permitted, the court declines to consider it.

Further, the court is not persuaded by Defendants’ supplemental brief and declaration. The court still finds that it entered default against Defendants before they retained counsel, so the entry of default was not their attorney’s fault. Under these circumstances, the court cannot grant Defendants relief based on attorney mistake under the mandatory provision of Section 473, subdivision (b).

Therefore, the motion to set aside the entries of default is DENIED.

CONCLUSION

For these reasons, the motion to set aside default is DENIED.